Fiscal Policy Analysis

Report on Indonesia


INTERNATIONAL
STI
IMF – Singapore
Niraj
Reza
Arielle
Thao
Intan
Phum
Sadia
Ping
Ben

OUTLINE

- Macroeconomic Overview
- Fiscal Situation and Challenges
- Debt Sustainability
- Policy Recommendations

INDONESIA AT A GLANCE

5.0% (2019)
-2.1% (2020)
5.0% (2023E)
GDP Growth

4,135 USD (2019)
3,871 USD (2020)
5,077 USD (2023E)
GDP per capita

2.8% (2019)
2.0% (2020)
3.9% (2023E)
Inflation

-2.7% of GDP (2019)
-0.4% of GDP (2020)
-0.1% of GDP (2023E)
Current Account Balance

67.6 years
(Life expectancy, 2022)

30.2% (2019)
39.3% (2020)
39.1% (2023E)
Debt of GDP

9.36%
(National threshold of $2.9 in 2017 PPP)
Poverty Rate

279.1 M people
Population
5.3%
Unemployment rate

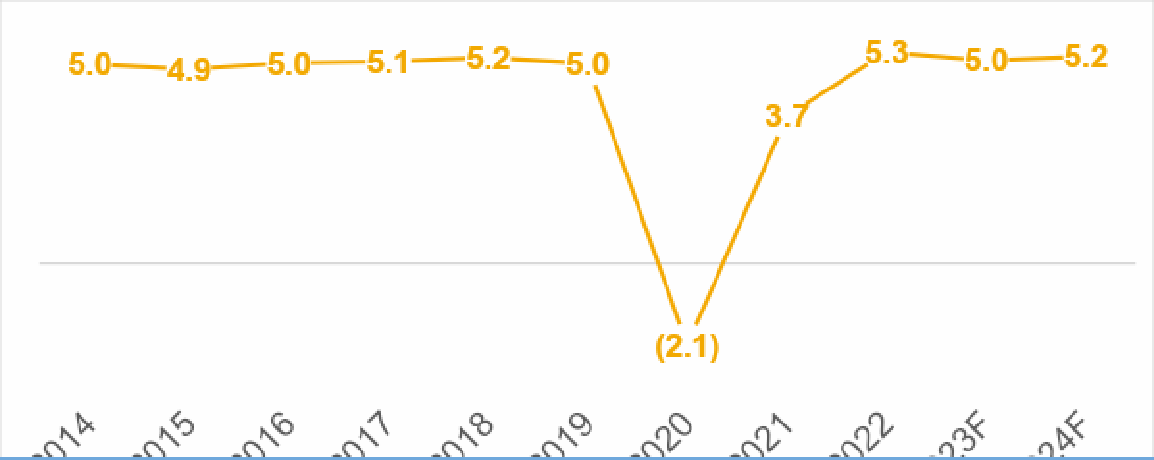
2023

- GDP growth supported by steady domestic demand and measures under 2023 Budget
- Social protection programs are enhanced to address the large poverty rate.
- Unemployment rate declined but has yet to reach pre-pandemic level

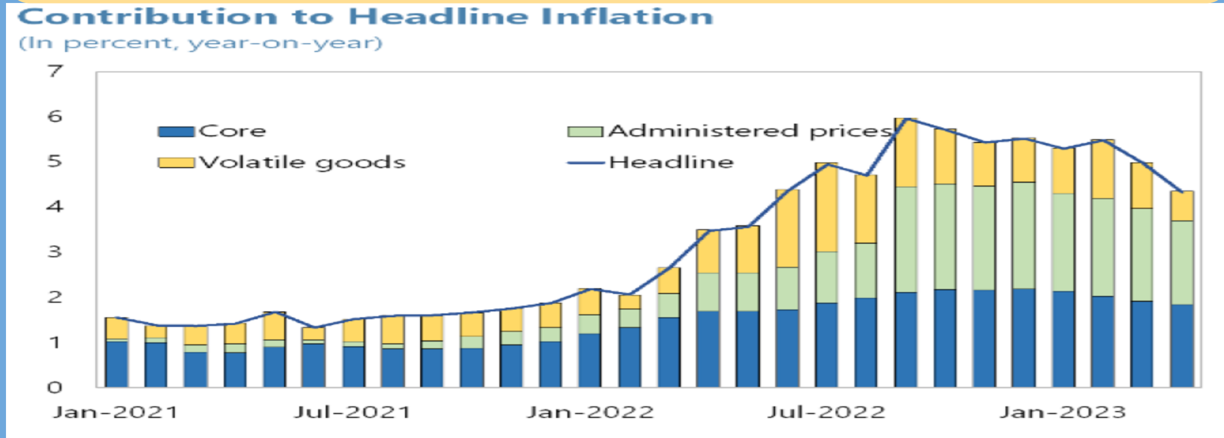
Source: World Bank, Macro Poverty Outlook (October 2023), Indonesia Statistics Bureau

MACROECONOMIC DEVELOPMENT

The average economic growth is around 5% before and after pandemic Covid-19

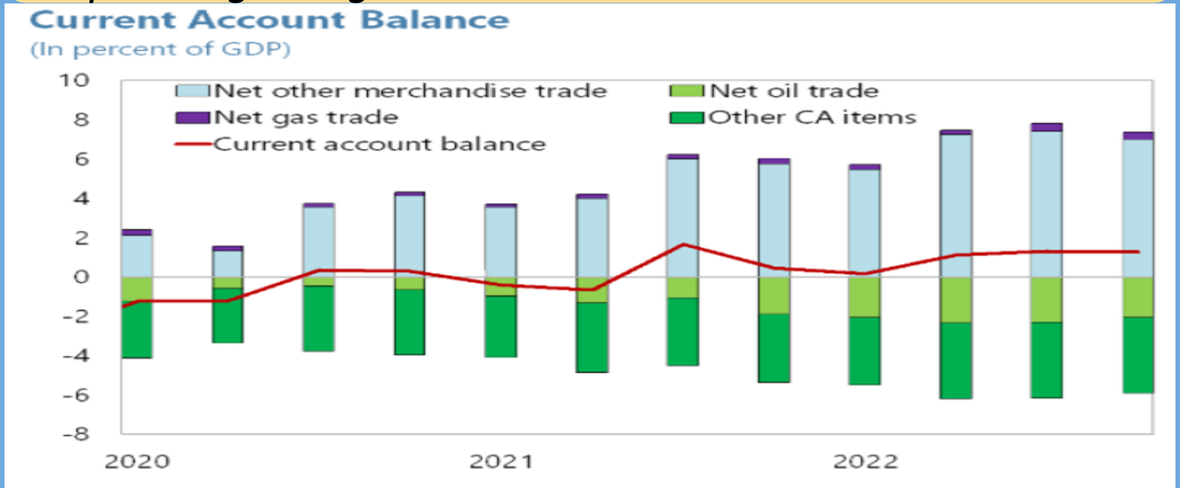


Inflation accelerated significantly after Covid-19, but it gradually slowed down



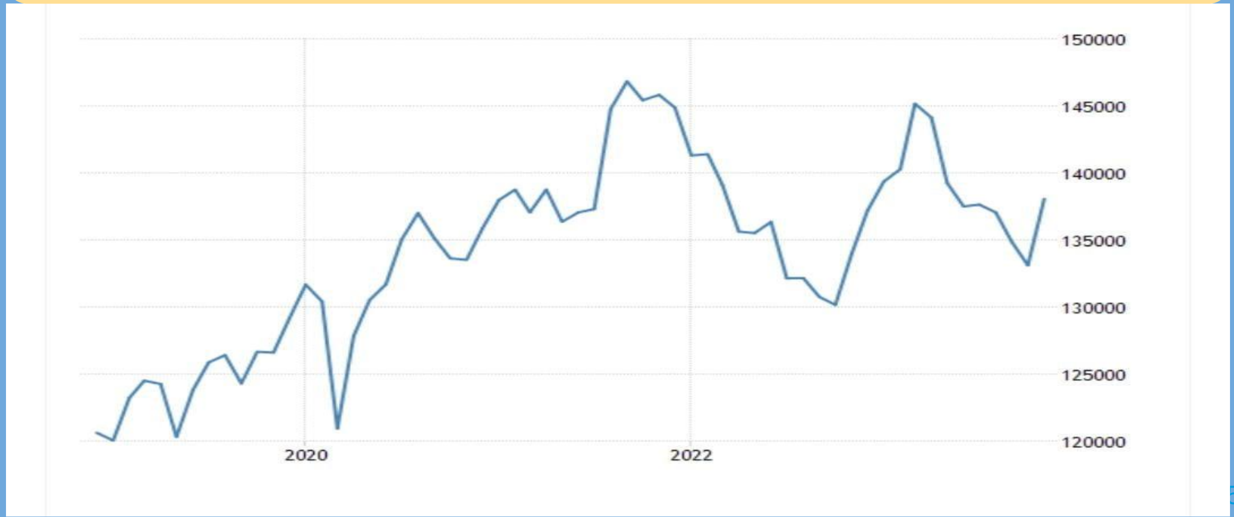
Sources: Badan Pusat Statistik; and IMF staff estimates.

The current account deficit in 2020 transitioned into a surplus beginning Q3 2021

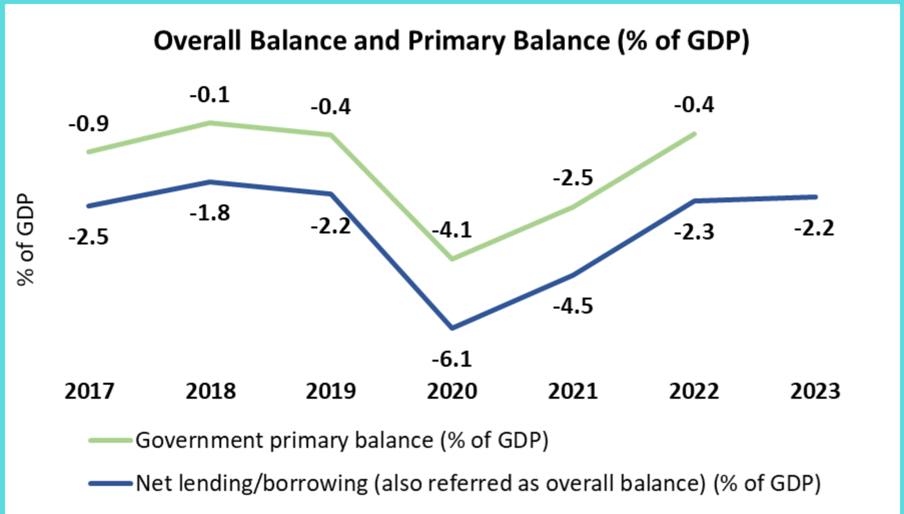


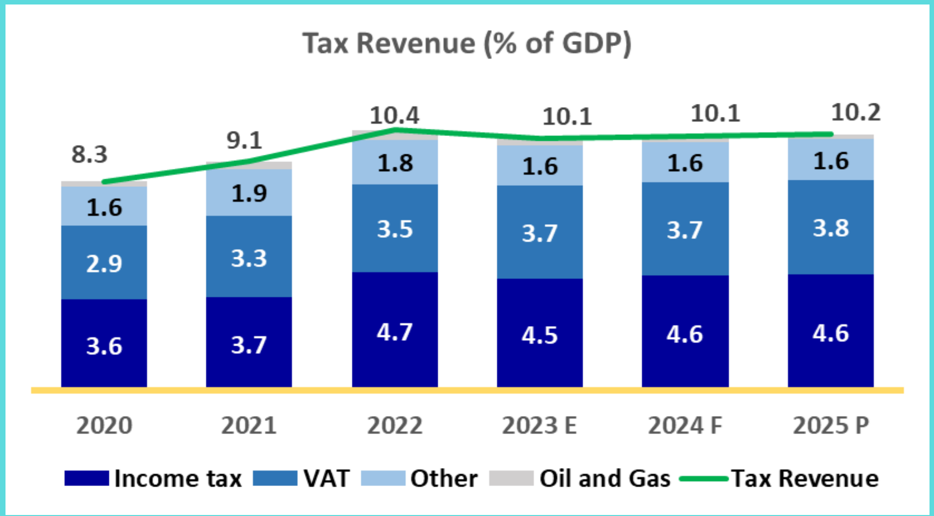
Sources: Bank Indonesia via CEIC Data Co. Ltd.; and IMF staff estimates.

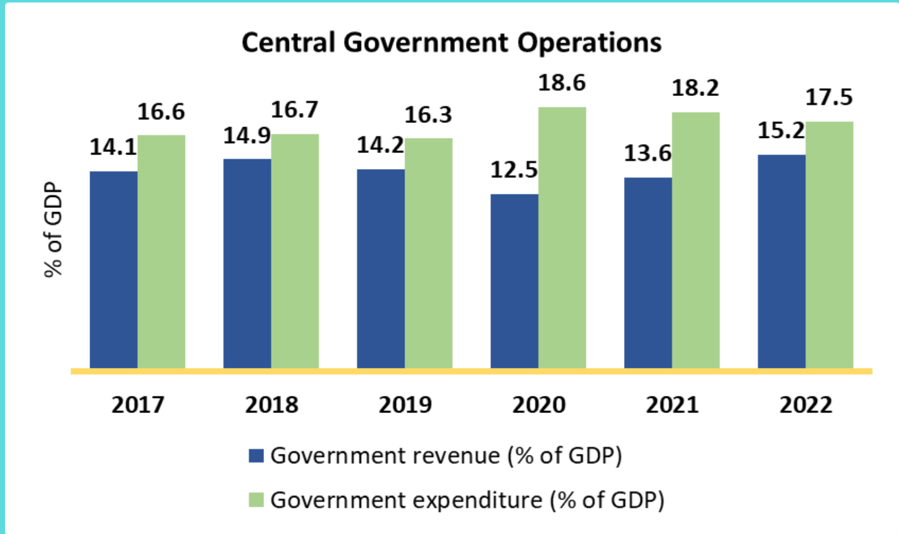
Indonesia's foreign reserves position remains high

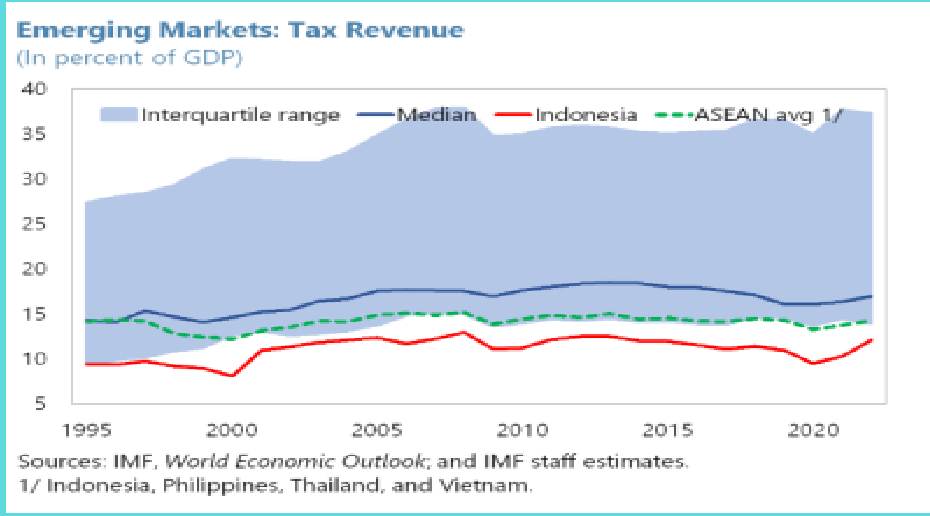


OVERALL FISCAL SITUATION AND CHALLENGES









Fiscal rule: 3% of GDP

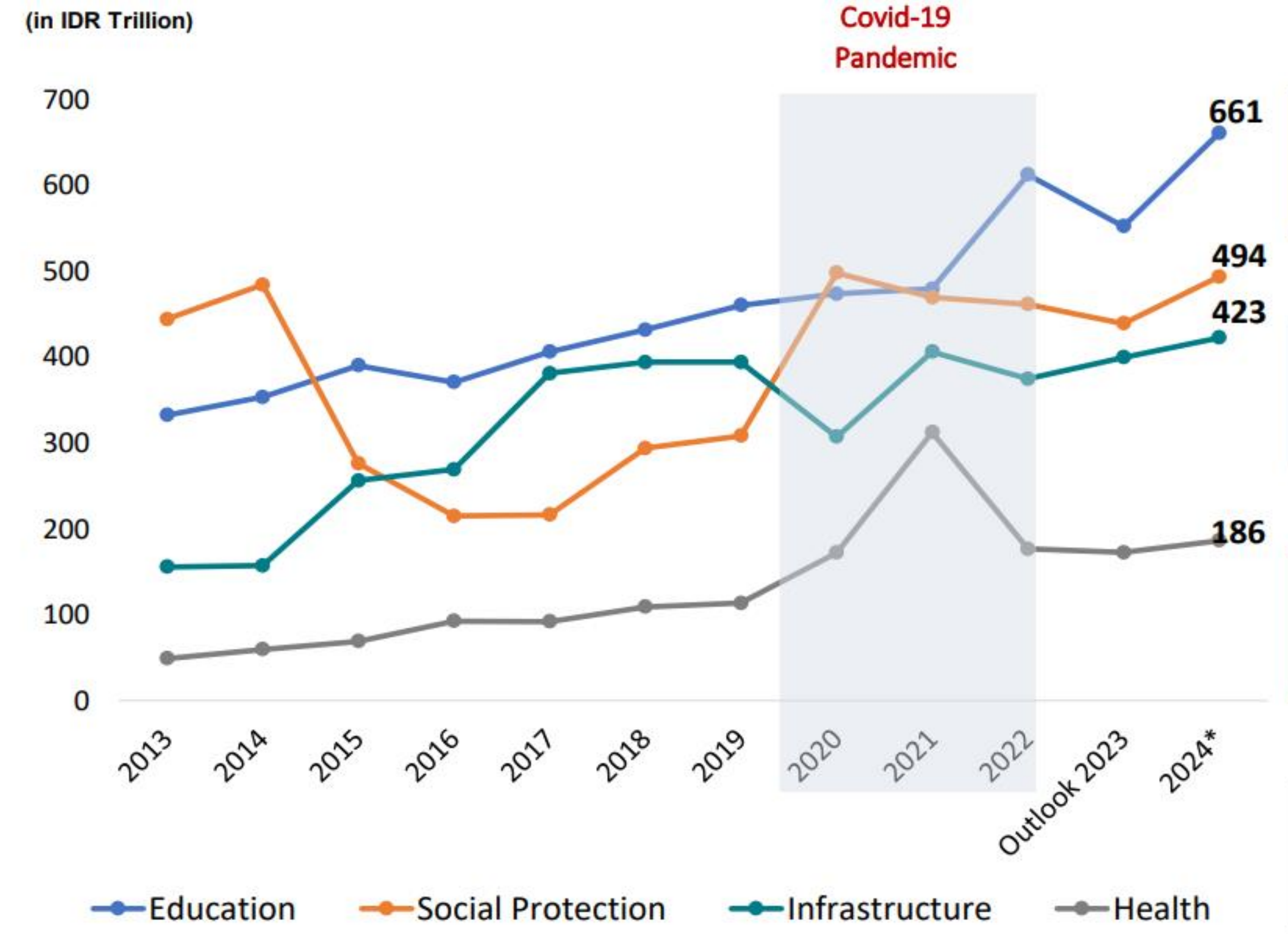
Main Challenges:

1. ***Low revenue***
2. ***Quality of spending***
3. ***Lack medium-term budget objectives, risks, and contingency policies***

Source: IMF Data Mapper

BUDGET SUPPORT FOR STRUCTURAL REFORM AGENDA IS WELL MAINTAINED - Budget allocation for prioritized sectors continue to grow

Budget allocation for prioritized sectors on the upward trend



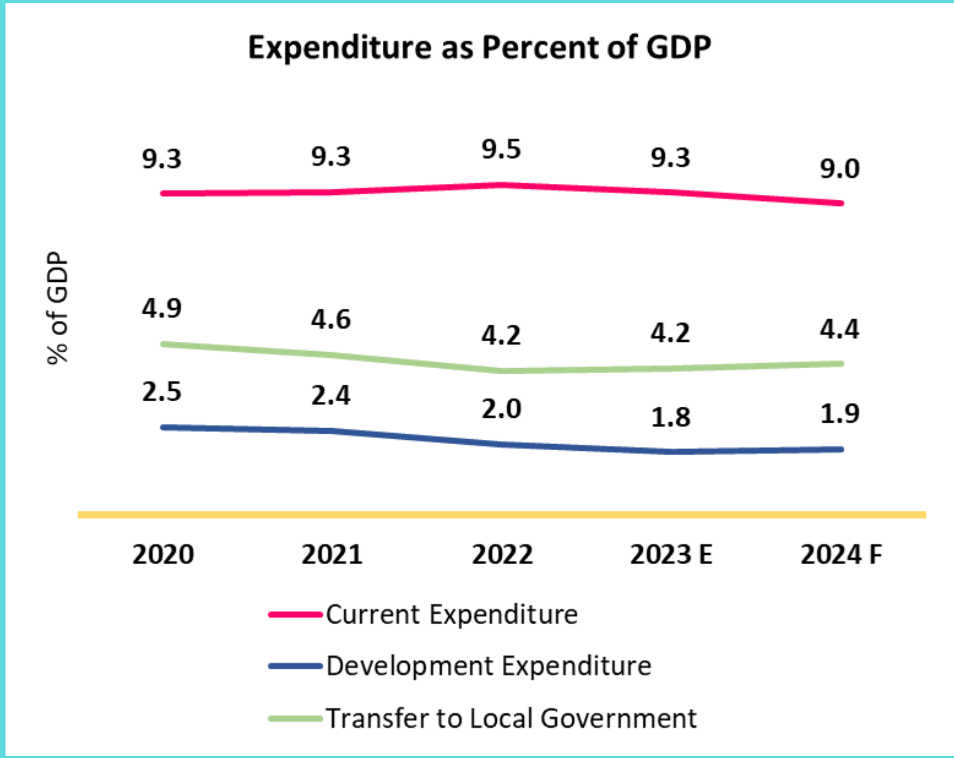
Budget Development on Priority Program

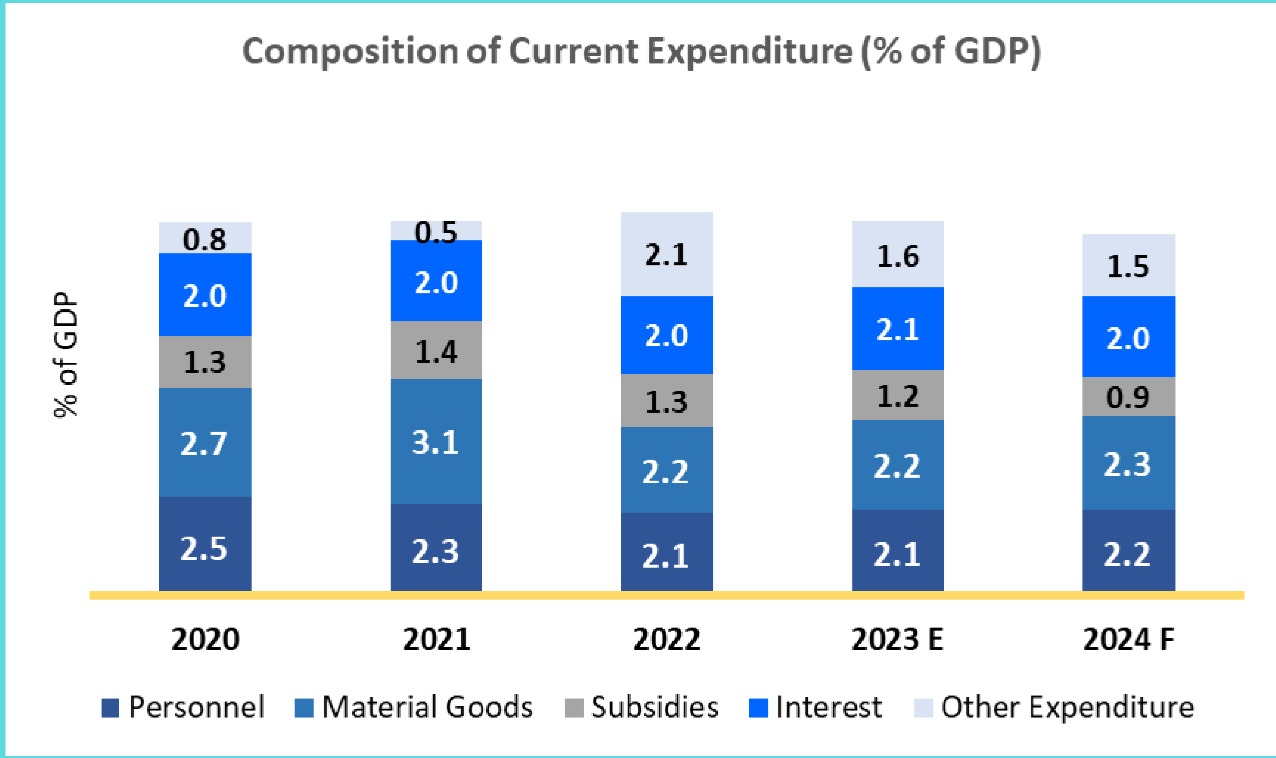
% to total budget (avg 2013-2024)	
20%	**Education** fostering a competitive human capital
14%	**Social Protection** promoting more effective and efficient social protection and subsidy distribution
14%	**Infrastructure** accelerating the implementation of basic infrastructure projects
5%	**Health** supporting health system reforms

Source: Ministry of Finance

Note: The allocation for the year 2024 is the proposed budget figure

EXPENDITURE TRENDS





Source: IMF Data Mapper

Low revenue base restrained the quality of spending. In order to maintain compliance with the 3% rule on fiscal deficit, the government reduced development expenditures and transfers to local government. Recent policy reforms have been gradually reducing subsidies.

INDONESIA IMPLEMENTED EXTRAORDINARY & DECISIVE MEASURES TO ADDRESS THE PANDEMIC & ITS ECONOMIC IMPACT

BACKGROUND

- The Covid-19 pandemic has triggered multiple crises: health, social and economic
- Emergency situation that has created massive economic impact
- Potential disruption to the financial system stability

QUICK RESPONSES

Issuance of
Emergency Regulation in Replacement of Law No. 1 Year 2020 on Financial State Policy and Financial System Stability to Manage Covid-19 (PERPPU No. 1/2020) - later enacted as UU No. 2/2020

SEVERAL MAIN POLICIES IN THE PERPPU

Fiscal Policy

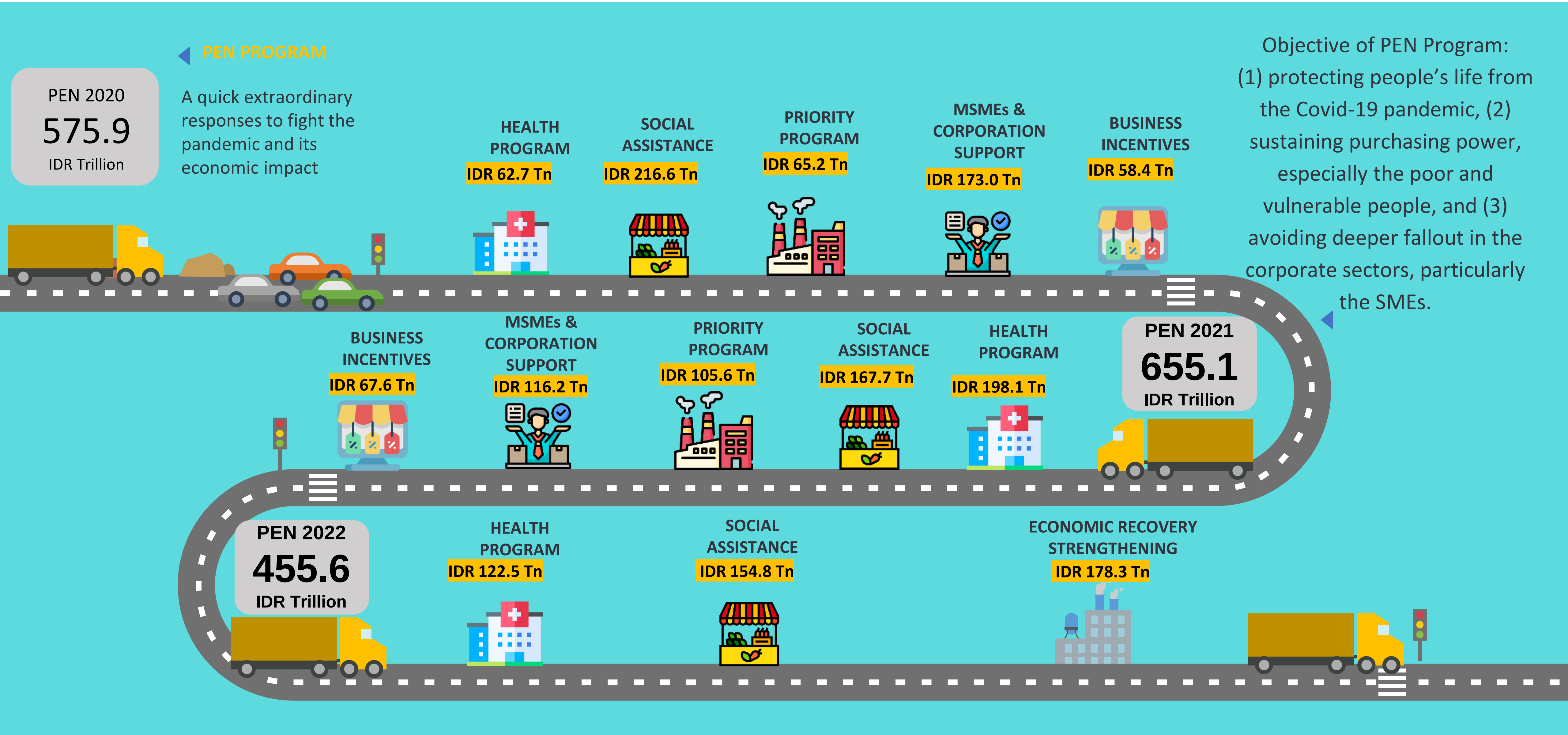
- Relax fiscal deficit threshold
- Incentives and tax reliefs
- Implementation of the National Economic Recovery Program for safeguarding the real sector and financial sector.

Monetary & Financial Sector Policy

- Expanding the authority of KSSK and the scope of the KKSK meeting
- Strengthening the authority of the central bank, including in buying long-term SBN in the primary market to support the handling of Covid-19 pandemic

THE NATIONAL ECONOMIC RECOVERY PROGRAM (PEN)

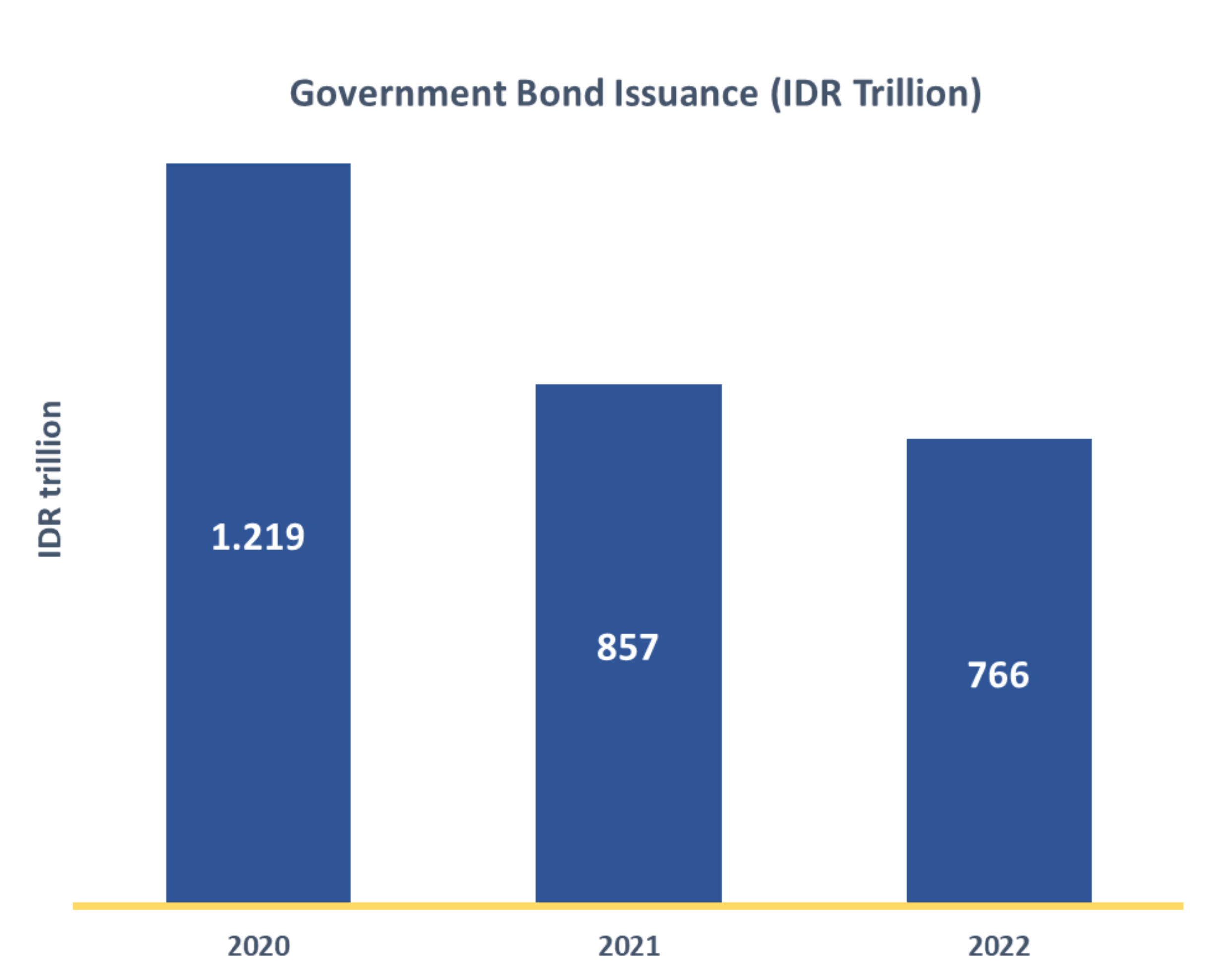
a comprehensive and coordinated program to address the health and economic crises caused by the Covid-19 pandemic



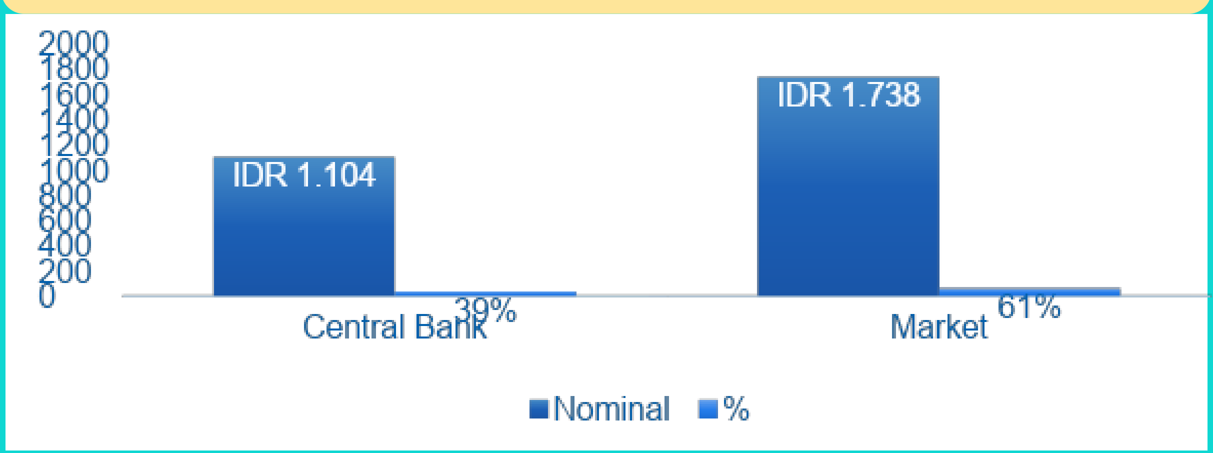
Source: IMoF

GOVERNMENT BONDS ARE THE BIGGEST SOURCE OF FUND TO FINANCE THE FISCAL DEFICIT DURING THE PANDEMIC PERIOD

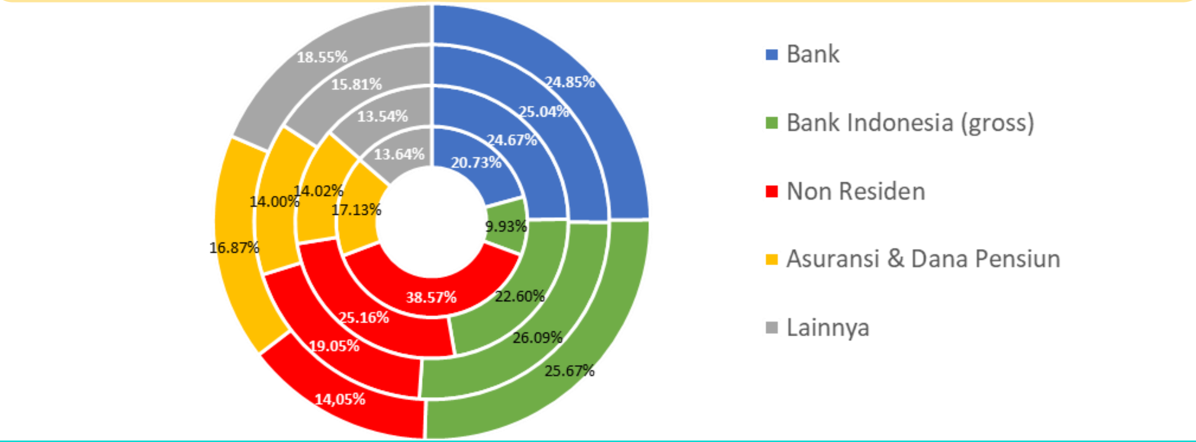
Around 86% of the budget deficit was financed by the government bond issuance, rest of them came from the bilateral/multilateral loans



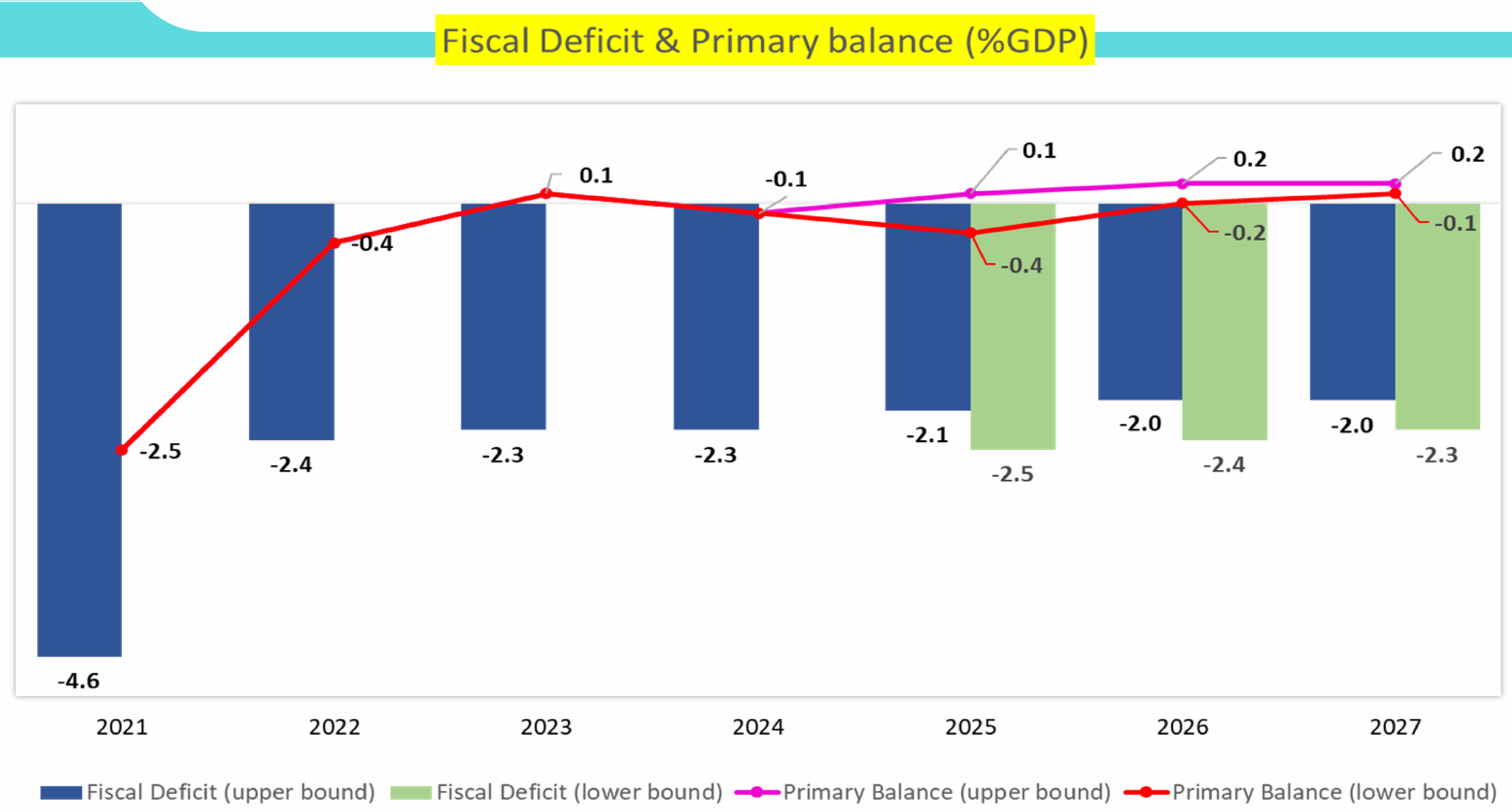
The central bank bought around 39% of the government bonds issued during the Covid-19 period.



The proportion of government bond held by the central bank has increased significantly during the pandemic period



MEDIUM-TERM FISCAL FRAMEWORK



POLICY REFORMS

Fiscal Decentralization

- Greater fiscal autonomy to local govt
- New system of fiscal transfers

Tax Reform

New tax law in 2021

- Modernizing tax administration
- Simplifying tax codes
- Improvement in Income Tax Regulations

Debt Management

- More prudent public debt management

Fuel Subsidy Reform

- Phasing out fuel subsidies since 2000s

Investment Improvement

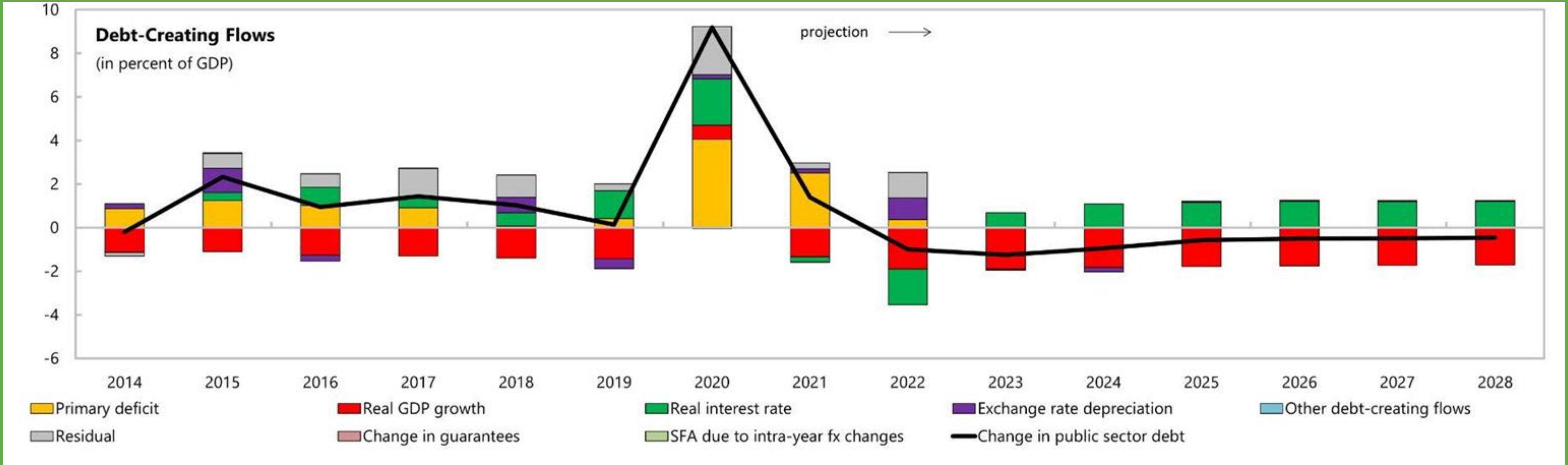
- Streamlining investment regulation
- Promote Public-Private-Partnerships (PPPs)

Social Safety Nets

- National Social Security System
- Universal Health Insurance
- Social protection expansion

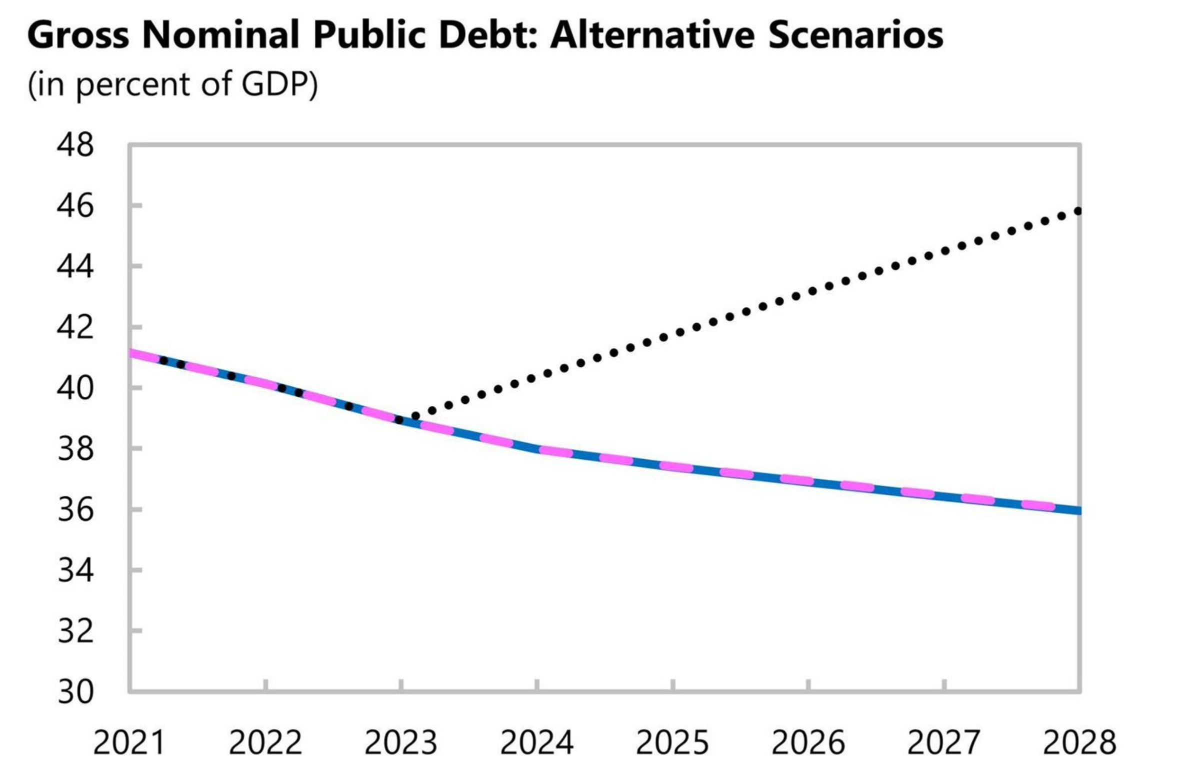
DEBT SUSTAINABILITY

The economic stimulus from the pandemic led to a large increase in the primary deficit in 2020 and worsened the debt-to-GDP ratio to 39.8 percent. Debt-to-GDP ratio is expected to decline steadily in the next five years given the projected economic growth, but will not yet reach pre-pandemic levels.



DEBT SUSTAINABILITY

Despite external risks such as slowdown in trade and exchange rate depreciation, Indonesia's debt is still expected to decline steadily and remain below the 60 percent threshold.



POLICY RECOMMENDATIONS

Low tax revenue

- Voluntary disclosure programs
- Increasing corporate income tax
- Implementation of global minimum tax for multinational companies
- Impose VAT in digital economy transaction

Quality of spending

- Eliminate inefficient projects and prioritize investments
- Enhance capital expenditure to support economic activities

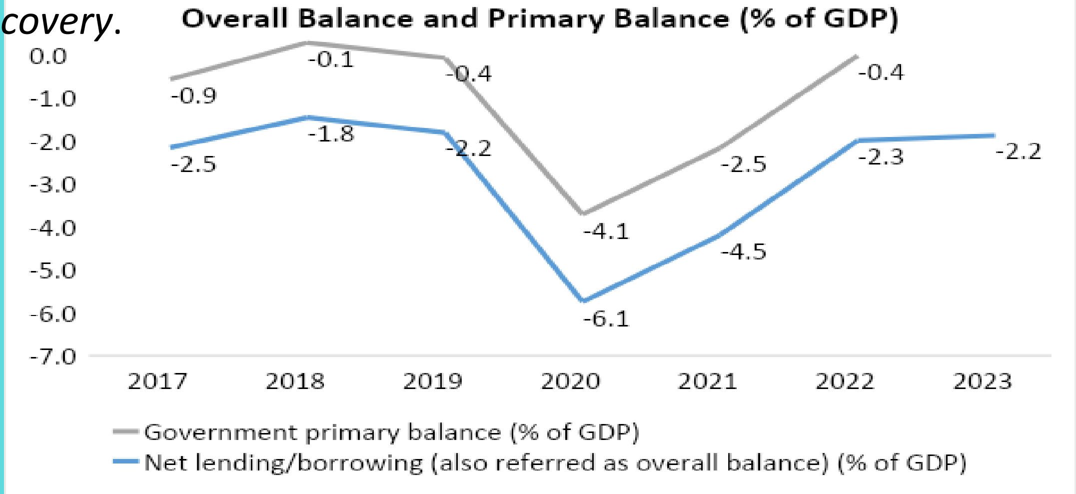
Lack of medium-term fiscal strategy

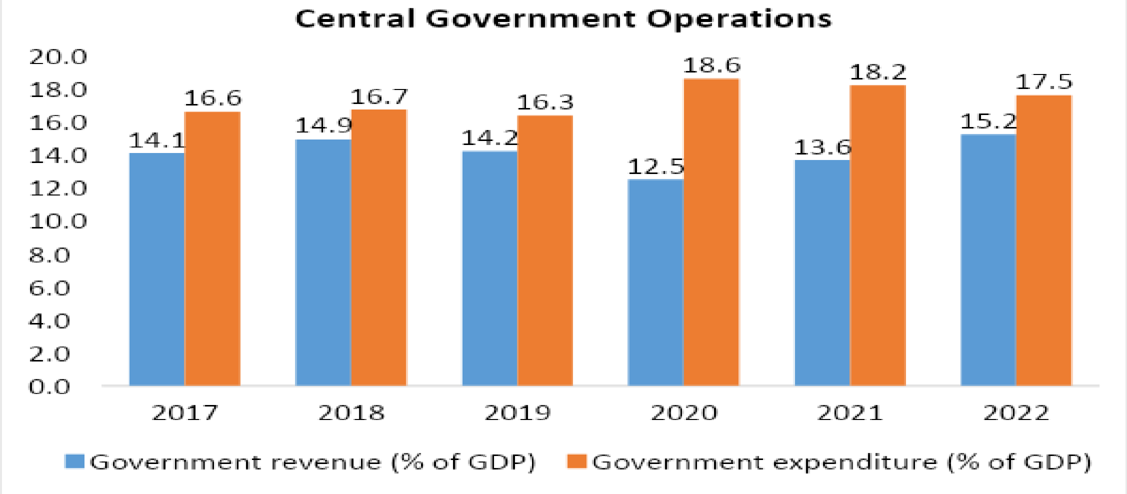
- Identify expenditure priorities and implement mentioned revenue mobilization strategies
- Creation of fiscal risk assessment framework

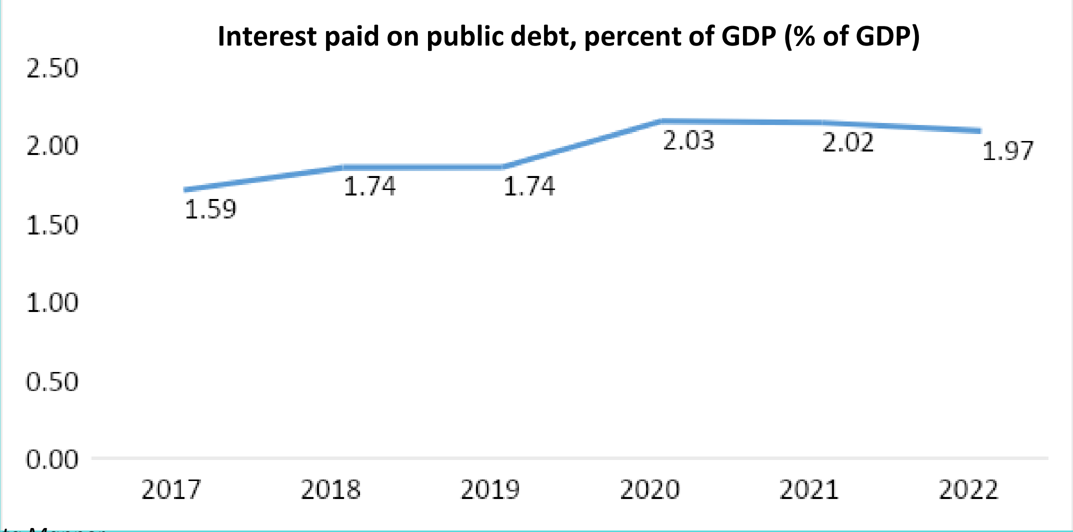

THANK YOU VERY MUCH!

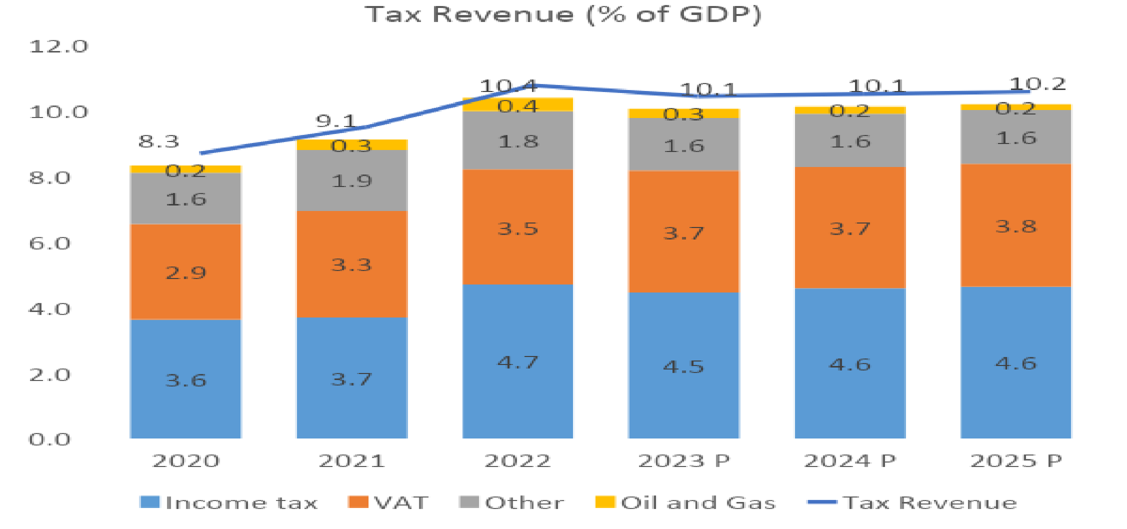
OVERALL FISCAL SITUATION

The 2023 budget aims to keep the fiscal deficit below the 3 percent ceiling, which is appropriate and feasible given the ongoing recovery.





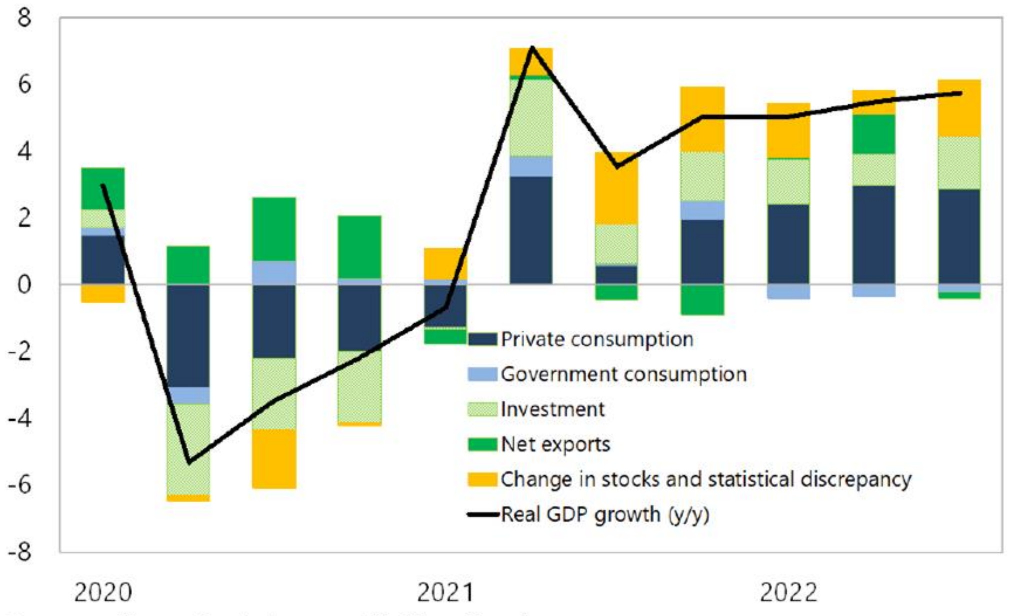




Source: IMF Data Mapper

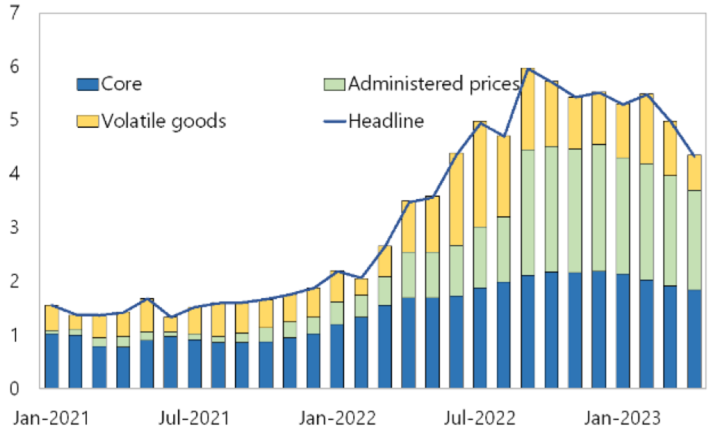
MACROECONOMIC OVERVIEW

Contribution to Real GDP Growth
(In percent, year-over-year)



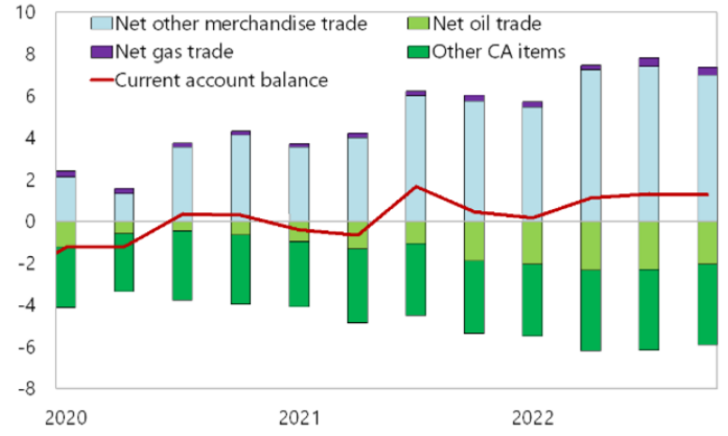
Sources: Haver Analytics.; and IMF staff estimates.

Contribution to Headline Inflation
(In percent, year-on-year)



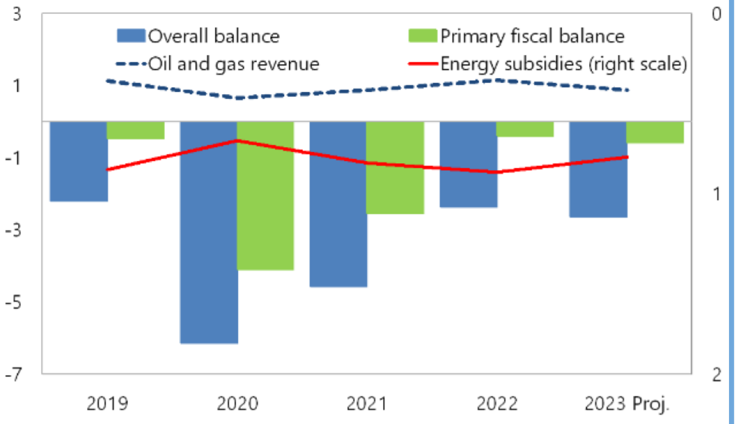
Sources: Badan Pusat Statistik; and IMF staff estimates.

Current Account Balance
(In percent of GDP)



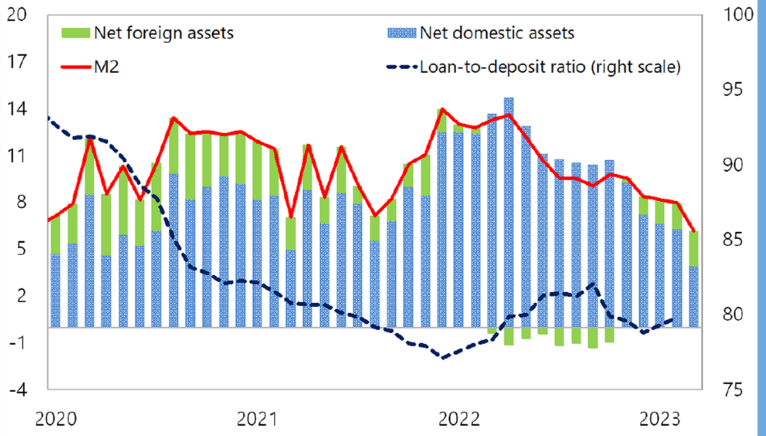
Sources: Bank Indonesia via CEIC Data Co. Ltd.; and IMF staff estimates.

Central Government Indicators
(In percent of GDP)



Sources: Indonesian authorities; and IMF staff estimates and projections.

Broad Money Growth
(Contribution to growth, year-on-year)

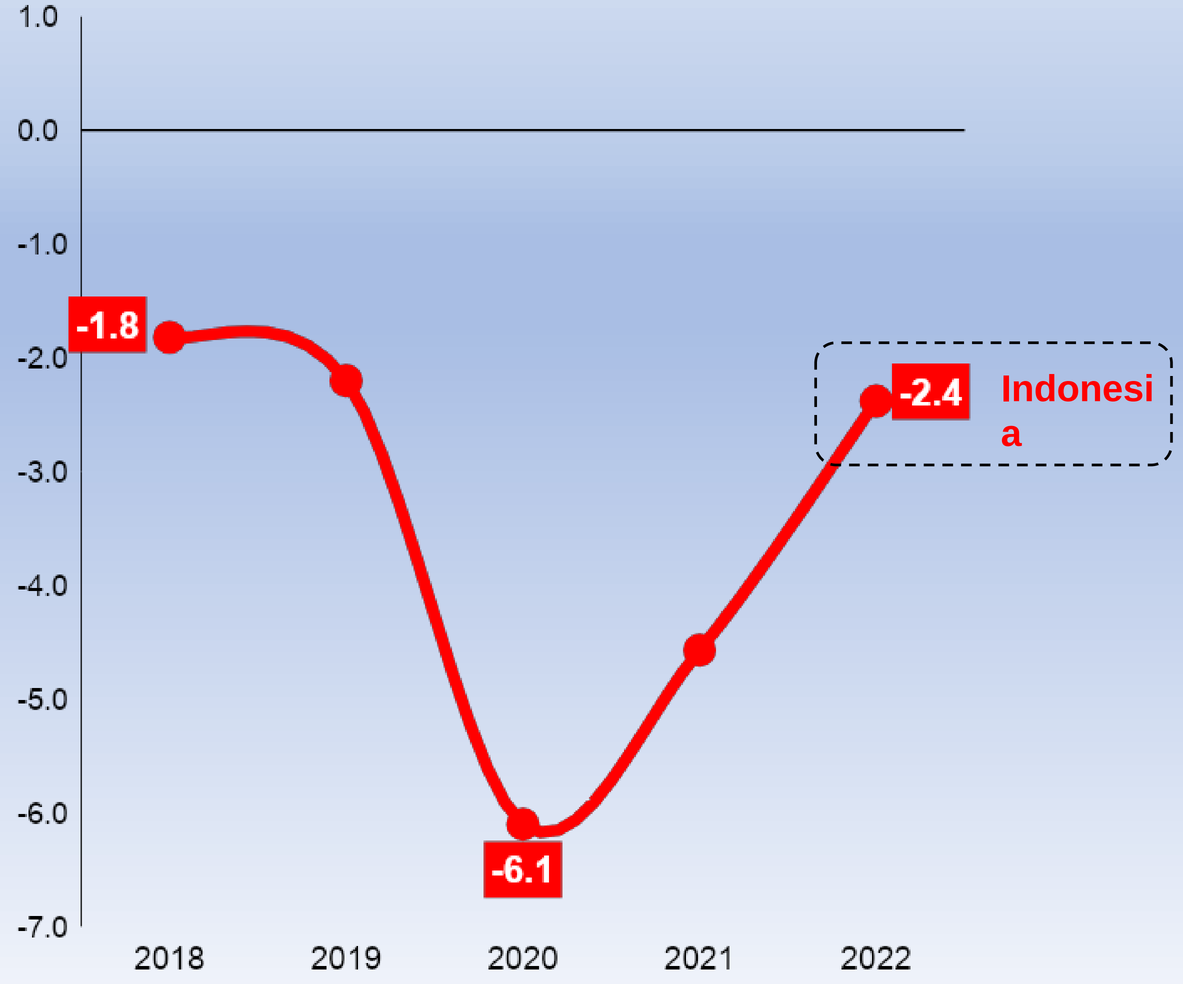


Sources: CEIC Data Co. Ltd; and IMF staff estimates.

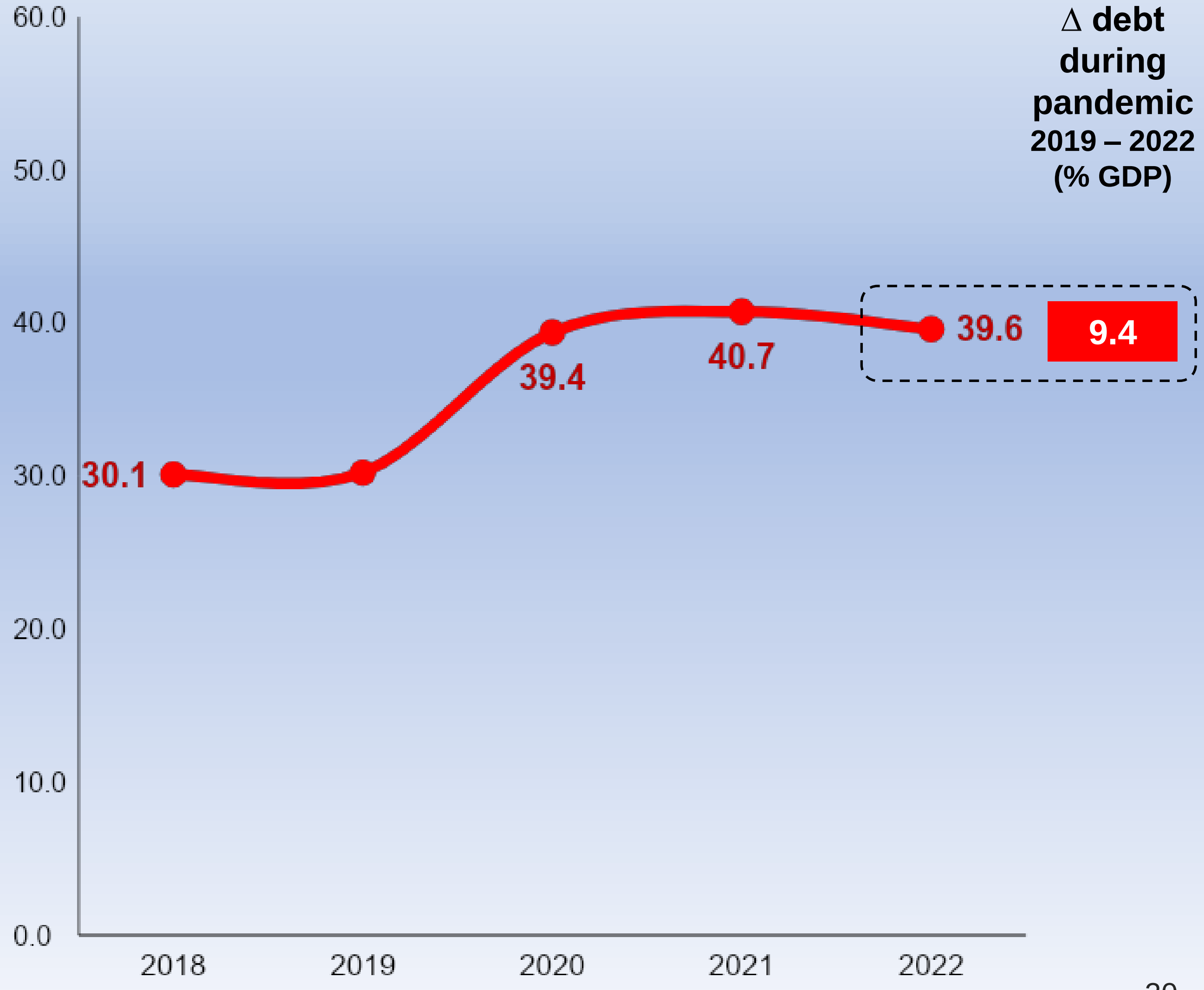
According to the IMF staff report, "Indonesia's forward-looking, and well-coordinated policies helped it close out the highly challenging global environment of 2022 with healthy growth, falling inflation, and a stable and profitable financial system."

DURING THE PANDEMIC, THE DEFICIT WAS SUBSTANTIALLY WIDENED, DEBT RATIO INCREASED, YET FISCAL POSITION SWIFTLY AND STRONGLY IMPROVED

Fiscal Deficit Before and After the Pandemic
(% GDP)



Debt Ratio Before and After the Pandemic
(% GDP)



Source: MOF - Indonesia